Foreign Exchange Rate

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Foreign Exchange Rate is defined as the price of the domestic currency with respect to another currency.
The purpose of foreign exchange is to compare one currency with another for showing their relative values.

Types of Foreign Exchange Rate

(1) Fixed Exchange Rate

Fixed exchange rate is a rate which is fixed by the government. This remains stable and only government has the power to change it.

(2) Flexible Exchange Rate

Flexible Exchange rate is a rate which is determined by forces of demand and supply of foreign exchange.

The sources of Demand for foreign exchange:

(i) Imports of goods and Services
(ii) Tourists going abroad.
(iii) Unilateral transfers sent abroad
(iv) Purchase of assets in foreign countries
(v) Payment of Interest and repayment of loans.
(vi) Speculation.

The Sources of Supply of foreign exchange:

(i) Exports of goods and Services
(ii) Tourists coming from abroad
(iii) Unilateral transfers from abroad.
(iv) Foreign investment.
(v) Speculation.

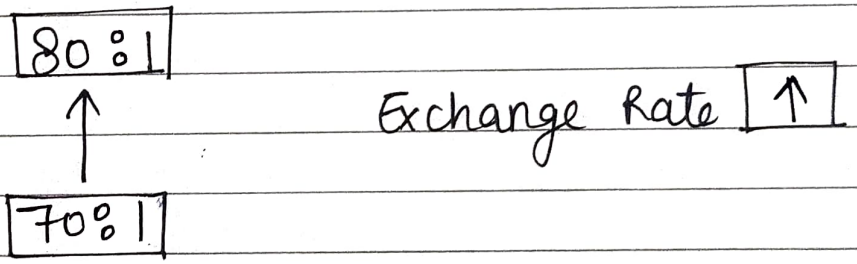
There is inverse relation between foreign exchange rate and demand for foreign exchange. There is positive relation between foreign exchange rate and supply of foreign exchange. Foreign exchange rate which is determined at a point where demand for and supply of foreign exchange are equal.
Foreign exchange rate changes with change in demand for and supply of foreign exchange.

Managed Floating Rate

Managed floating rate is the floating rate which involves gradual adjustment through government / central Bank intervention. This is done to control exchange rate i.e to make exchange rate Stable.

Devaluation

Devaluation of Domestic Currency.



→ Under fixed exchange rate system, fall in the value of domestic currency in terms of foreign currency is called devaluation of domestic currency.

→ It leads to rise in foreign exchange rate

Impact on Imports :-

(a) It makes foreign goods costlier/ expensive for domestic buyers.

(b) Now, they can buy less quantity of foreign goods with same amount of money.

(c) It leads to fall in Imports.

Impact on Exports :-

(a) It makes domestic goods cheaper for foreign buyers.

(b) Now, they can buy more quantity of domestic goods with same amount of money.

(c) It leads to fall in exports.

Revaluation

70 : 1 ↓ 60 : 1

exchange rate ↓

→ under fixed exchange rate system, rise in value of domestic currency in terms of foreign currency is called revaluation of domestic currency.

→ It leads to fall in foreign exchange rate.

Impact on Imports :-

(a) It makes foreign goods cheaper for domestic buyers.
(b) Now, domestic buyer can buy more quantity with same amount of money.
(c) It leads to rise in Imports.

Impact on Exports :-

(a) It makes domestic goods costlier / expensive for foreign buyers.
(b) Now, they can buy less quantity with same amount of money.
(c) It leads to fall in exports.

Distinguish b/w Revaluation and Appreciation of Domestic Currency.

Appreciation of domestic Currency	Revaluation of domestic currency.
1. It exist in flexible exchange rate system	It exist in fixed exchange rate system.
2. It is determined by fluctuation in market forces of demand & supply	It is determined by good.
3. It is independent of government policy.	It is the result of government Policy & also the part of government policy.